

Guatemala

Transfer Pricing Country Profile¹

October 2025

		SUMMARY	REFERENCE
The Arm's Length Principle			
1	Does your domestic transfer pricing framework ² make reference to the arm's length principle?	☒ Yes ☐ No	Tax Update Law, Book I, Income Tax, Chapter VI, Special valuation rules between related parties, arm's length principle, article 54, Decree Number 10-2012. DECRETO-No.-10-2012-LEY-DE-ACTUALIZACION-TRIBUTARIA.pdf
2	Does your domestic transfer pricing framework give the OECD Transfer Pricing Guidelines any role or status (e.g. legal binding effect, subsidiary	☐ Yes ☒ No	Portal SAT Repositorio Virtual - Guatemala (available in Spanish only)

¹ Information in transfer pricing country profiles is provided directly by jurisdictions. By publishing the transfer pricing country profiles on the OECD website, the OECD does not certify the accurateness of the information provided therein. Importantly, transfer pricing country profiles published on the OECD website are made available to stakeholders for information purposes only, and are not intended to be used in substitution to a jurisdiction's legal instruments, jurisprudence, or administrative guidance or practice nor relied on as an accurate and complete description of domestic law.

² For purposes of transfer pricing country profiles, the term "domestic transfer pricing framework" refers to a jurisdiction's domestic legislation, regulations, administrative guidance or practice, jurisprudence or governing general principles in the jurisdiction.

	application in the absence of domestic legislation, source of interpretation of domestic legislation and/or treaty provisions, other)?	The OECD Transfer Pricing Guidelines do not have a legal binding effect under Guatemala's domestic transfer pricing framework. Despite the absence of a legal reference to the OECD Transfer Pricing Guidelines, the Superintendencia de Administración Tributaria in Guatemala (SAT) applies these in practice. Furthermore, the SAT issued in 2016 technical guidelines for taxpayers which state that the OECD Transfer Pricing Guidelines can be used as a reference for interpretation.	
3	Does your domestic transfer pricing framework provide for a definition of related parties applicable for transfer pricing purposes? If so, please provide the definition contained under your domestic transfer pricing framework.	☒ Yes ☐ No Two people are considered related parties, between a resident person in Guatemala and a resident abroad, when the following cases occur: Definition of related parties. A. For the purposes of this book, two persons are considered related parties, between a person resident in Guatemala and a person resident abroad, when the following cases occur: 1. When one of them directs or controls the other, or owns, directly or indirectly, at least twenty-five percent (25%) of its share capital or voting rights, whether in the national or foreign entity. 2. When five or fewer persons direct or control both related parties, or jointly own, directly or indirectly, at least twenty-five percent (25%) of the share capital or voting rights of both persons. 3. In the case of legal persons, whether resident in Guatemala or foreign, belonging to the same business group. In particular, for these purposes, two companies are considered to be part of the same business group if one of them is a partner or participant in the other and is in relation to the other in any of the following situations: a. Own the majority of the voting rights.	Tax Update Law, Book I, Income Tax, Chapter VI, Special valuation rules between related parties, article 56, Decree Number 10-2012. <u>DECRETO-No.-10-2012-LEY-DE-ACTUALIZACION-TRIBUTARIA.pdf</u>

		b. It has the power to appoint or dismiss the members of the administrative body or that through its legal representative intervenes decisively in the other entity. c. Can dispose, by virtue of agreements entered into with other partners, of the majority of the voting rights. d. Has appointed exclusively with its votes the majority of the members of the administrative body. and. e. The majority of the members of the administrative body of the controlled legal entity, whether they are representatives, managers or members of the administrative body of the parent company or of another company dominated by it. When two companies are each part of a business group with respect to a third company in accordance with the provisions of this section, all these companies make up a business group. For the purposes of paragraph A., a natural person is also considered to hold a share in the share capital or voting rights when the ownership of the participation or shares, directly or indirectly, corresponds to the spouse or person united by kinship, by consanguinity up to the fourth degree or by affinity up to the second degree. The term person in this section refers to natural persons, legal entities and other organizations with or without legal personality. B. Related parties are also considered: 1. A person resident in Guatemala and a distributor or exclusive agent of the same resident abroad. 2. A distributor or exclusive agent resident in Guatemala of an entity resident abroad and the latter. 3. A person resident in Guatemala and his or her permanent establishments abroad.	
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Transfer Pricing Methods															
4	Does your domestic transfer pricing framework provide for transfer pricing methods to be used in respect of transactions between related parties?	☒ Yes ☐ No If affirmative, please check those provided for in your legislation: <table border="1"> <thead> <tr> <th>CUP</th><th>Resale Price</th><th>Cost Plus</th><th>TNMM</th><th>Profit Split</th><th>Other (If so, please describe)</th></tr> </thead> <tbody> <tr> <td>☒</td><td>☒</td><td>☒</td><td>☒</td><td>☒</td><td>☒</td></tr> </tbody> </table> The legislation provides for a specific method for the valuation of import or export transactions of goods that qualify as “commodities” (see question 6 below).	CUP	Resale Price	Cost Plus	TNMM	Profit Split	Other (If so, please describe)	☒	☒	☒	☒	☒	☒	Tax Update Law, Book I, Income Tax, Chapter VI, Special valuation rules between related parties, article 59, Decree Number 10-2012. DECRETO-No.-10-2012-LEY-DE-ACTUALIZACION-TRIBUTARIA.pdf
CUP	Resale Price	Cost Plus	TNMM	Profit Split	Other (If so, please describe)										
☒	☒	☒	☒	☒	☒										
5	Which criterion is provided for in your domestic transfer pricing framework for the application of transfer pricing methods?	Please check all that apply: ☐ Hierarchy of methods ☒ Most appropriate method ☐ Other (if so, please explain)	Tax Update Law, Book I, Income Tax, Chapter VI, Special valuation rules between related parties, arm’s length principle, article 59, Decree Number 10-2012. DECRETO-No.-10-2012-LEY-DE-ACTUALIZACION-TRIBUTARIA.pdf												

6	Does your domestic transfer pricing framework contain specific guidance on commodity transactions?	☒ Yes ☐ For controlled transactions involving commodities, the guidance contained in paragraphs 2.18-2.22 of the TPG is followed. ☒ Domestic transfer pricing framework provides for the use of a specific method for controlled transactions involving commodities (<i>if so, please explain</i>) ☐ No In the following cases, transactions between related parties are valued as follows: • Imports: The price cannot exceed the international market price on the purchase date at the place of origin. • Exports: The price is based on international market research according to the contract terms as of the shipment date, unless proven that the deal was closed earlier. The contract date is only valid if reported to the tax authority within three days of signing. • If an intermediary is involved in an export transaction and lacks a real and effective presence in its country or does not primarily engage in intermediation, it is considered a related party under the law. • Prices are converted to Quetzales using the exchange rate on the day the foreign currency is settled in a local bank; if not available, the reference rate on the shipment or contract date is applied. The legislation in Guatemala does not contain provisions that specify which goods or products are considered as “commodities” for purposes of applying this method.	Tax Update Law , Book I, Income Tax, Chapter VI, Special valuation rules between related parties, article 60, Method for valuation for imports or exports of goods.
Comparability Analysis			
7	Does your jurisdiction follow (or largely follow) the guidance on comparability analysis outlined in Chapter III of the TPG?	☒ Yes ☐ No The domestic law largely follows the guidance on comparability in Chapter III of the OECD Transfer Pricing Guidelines.	Tax Update Law, Book I, Income Tax, Chapter VI, Special valuation rules between related parties, article 58. DECRETO-No.-10-2012-LEY-DE-ACTUALIZACION-TRIBUTARIA.pdf

			Government Agreement Number 213-2013 , articles 39 to 47
8	Is there a preference in your jurisdiction for domestic comparables over foreign comparables?	☐ Yes ☒ No	
		The domestic transfer pricing framework does not contain any specific preference for domestic comparables over foreign comparables. In practice, there is no or very limited information on domestic comparables because domestic companies are not obliged to publish financial information.	
9	Does your domestic transfer pricing framework permit the use of secret comparables for transfer pricing assessment purposes?	☐ Yes ☒ No	
		The domestic transfer pricing framework does not explicitly prohibit the use of secret comparables. However, in practice the tax administration does not use secret comparables.	
10	Does your domestic transfer pricing framework allow or require the use of an arm's length range and/or statistical measure (e.g. the interquartile range or other percentiles) for determining arm's length remuneration?	☒ Yes ☐ No	Government Agreement Number 213-2013 , article 47
		Article 47 of Government Agreement Number 213-2013 establishes that if there is more than one comparable uncontrolled transaction, the full range of arm's length will be derived from the results of all comparable uncontrolled transactions that achieve a similar level of comparability and reliability. The interquartile range provides an acceptable measure of the arm's length range. The interquartile range is defined as the range between the 25th percentile and the 75th percentile of the results derived from the uncontrolled comparable operations. If the results of a controlled transaction fall outside the arm's length range, the Tax Administration may make adjustments to align the controlled taxpayer's results to the most appropriate point within the arm's length range, unless the taxpayer can demonstrate with new evidence that their results fall within the interquartile range established by a reliable uncontrolled comparable price. Otherwise, the adjustment will typically be made by aligning the price to the median value of all results.	

11	Are comparability adjustments required under your domestic transfer pricing framework?	☒ Yes ☐ No Article 40 of Government Agreement 213-2013, Regulation of the Tax Update Law, establishes that: (...) If there are differences, the corresponding reasonable adjustments must be made, which are those that eliminate distortions so that the transactions are comparable, provided that the method and the reasons for this adjustment can be supported by documentation.	Government Agreement Number 213-2013 , article 40
Intangible Property			
12	Does your domestic transfer pricing framework contain guidance specific to the pricing of controlled transactions involving intangibles?	☐ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VI of the TPG? ☐ Yes ☐ No (please provide further explanations below) ☒ No Please note that, in practice, the SAT applies the OECD Transfer Pricing Guidelines as a technical reference.	
13	Are there any other rules outside your transfer pricing framework that are relevant for the pricing of controlled transactions involving intangibles?	☐ Yes ☒ No Please note that, in practice, the SAT applies the OECD Transfer Pricing Guidelines as a technical reference.	
Hard-to-Value Intangibles³			
14		☐ Yes. If so, does your domestic transfer pricing framework follow the guidance on HTVI in Chapter VI of the TPG? ☐ Yes	

³ Please note that questions in this section are imported from the HTVI questionnaire and integrated into this TPCP to centralise all jurisdiction-related transfer pricing information.

	Does your domestic transfer pricing framework contain guidance specific to hard-to-value intangibles (HTVI)?⁴	☐ No (please provide further explanations below) ☒ No The domestic transfer pricing framework does not have specific guidance specific on hard-to-value intangibles. The SAT can use the OECD Transfer Pricing Guidelines to audit and determine the value of transactions involving the transfer of intangibles, including the guidance on HTVI.	
15	If your jurisdiction applies the HTVI approach, what are the conditions for the application of the HTVI approach?	Please see response to question 14.	
16	Are transactions falling within the scope of the HTVI approach subject to a transfer pricing analysis different from the one established in Chapters I and VI, or to other compliance requirements specifically applicable to transfer prices (e.g. domestic anti-abuse rules)?	Please see response to question 14.	
17	What is the statute of limitations applicable to transactions falling within the scope of the HTVI approach in your domestic transfer pricing framework? Does this statute of limitations differ from those applicable to other transactions?	The statute of limitations for all transactions, including transfer pricing issues, is four (4) years.	Tax Code, Decree number 6-91 ARTICLE 47. Prescription. The right of the Tax Administration to make verifications, adjustments, rectifications or determinations of tax obligations, liquidate interest and fines and demand their compliance and payment from taxpayers or those responsible, must be exercised within a period of four years. https://portal.sat.gob.gt/portal/biblioteca-en-linea-sat/legislacion-tributaria/
18	Can taxpayers request a bilateral or multilateral advance pricing agreement (“APA”) for transactions falling within the scope of the HTVI	☒ Yes ☐ No	Tax Update Law, Book I, Income Tax, Chapter VI, Special valuation rules between related parties, Advance pricing agreement, article 63, Decree Number 10-2012.

⁴ In the case of jurisdictions that do not apply the HTVI approach (i.e. they responded “no” to question 14), it is not necessary to respond to the remaining questions in the HTVI section and these questions will not be published as part of jurisdiction’s transfer pricing country profile.

	approach under your domestic transfer pricing framework?	Currently, only unilateral APAs are available, because Guatemala does not have any tax treaties. The taxpayers can request unilateral APA for any transactions of transfer pricing.	DECRETO-No.-10-2012-LEY-DE-ACTUALIZACION-TRIBUTARIA.pdf
19	What measures exist or approaches have been adopted to avoid the use of hindsight (e.g. training of tax administrators, internal circulars/informative notes)?	The Guatemala SAT provides training to its tax officials on the application of transfer pricing rules.	
20	Is it possible for your tax administration to make adjustments under the HTVI approach in open years amounts pertaining to closed years?	☐ Yes ☒ No	
21	Does your domestic transfer pricing framework allow the tax administration to make corresponding adjustments under the HTVI approach in open years for amounts pertaining to closed years?	☐ Yes ☒ No	
22	Is it possible for your tax administration to make several adjustments for one single HTVI transaction under the HTVI approach?	☒ Yes ☐ No (e.g intangible amortization HTVI)	

Intra-group Services			
23	Does your domestic transfer pricing framework provide guidance specific to intra-group services transactions?	☒ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VII of the TPG? ☐ Yes ☐ No (please provide further explanations below) ☐ No	Tax Update Law, Book I, Income Tax, Chapter VI, Special valuation rules between related parties, Specific treatment applicable to intra-group services transactions, article 62, Decree Number 10-2012. DECRETO-No.-10-2012-LEY-DE-ACTUALIZACION-TRIBUTARIA.pdf
24	Does your domestic transfer pricing framework provide for or allow the application of a simplified approach for low value-adding intra-group services?	☐ Yes. If so, does it follow (largely follow) the low value-adding services approach in Chapter VII? ☐ Yes ☐ No (please provide further explanations below) ☒ No The domestic transfer pricing framework does not contain a simplified approach for low value-adding intra-group services. However, in practice, the tax administration applies the OECD Guidelines Transfer Pricing. In the cases resolved for the purpose of intragroup services, we have applied the OECD Guidelines on Transfer Pricing as a technical reference framework.	
25	Are there any other rules outside your transfer pricing framework for pricing intragroup services?	☐ Yes ☒ No In some cases, the tax administration applies the principle of onerousness, established in the Tax Code, Decree Number 6-91, is used.	Tax Code , Decree number 6-91, article 5

Financial Transactions			
26	Does your domestic transfer pricing framework provide guidance specific to financial transactions?	☐ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter X of the TPG? ☐ Yes ☐ No (please provide further explanations below) ☒ No	
		The domestic transfer pricing framework does not have specific guidance on financial transactions. The SAT can use the OECD Transfer Pricing Guidelines to audit and determine the value of financial transactions.	
27	Are there any other rules outside your transfer pricing framework that are relevant for the tax treatment of financial transactions? (e.g. whether your jurisdiction has implemented the measures in BEPS Action 4 to limit interest deductions and other financial payments or any similar rules)	☒ Yes ☐ No Guatemalan legislation establishes a rule of sub-capitalization in which it states the following: (...) Without prejudice to other regulations regarding interest deduction, the deductible amount for this concept shall not exceed the value obtained by multiplying the interest rate referred to in the following paragraphs by an amount of three times the average total net assets presented by the taxpayer in their annual sworn declaration.	Tax Update Law , Book I, Income Tax, article 24, Decree Number 10-2012.
Cost Contribution Arrangements			
28	Does your jurisdiction allow cost contribution arrangements?	☐ Yes. If so, does your domestic transfer pricing framework follow (or largely follow) the guidance in Chapter VIII of the TPG? ☐ Yes ☐ No (please provide further explanations below) ☒ No	

Transfer Pricing Documentation			
29	Does your domestic transfer pricing framework require the taxpayer to prepare transfer pricing documentation?	☒ Yes ☐ No <i>If affirmative, please check all that apply:</i> ☐ Master file consistent with Annex I to Chapter V of the TPG ☒ Local file consistent with Annex II to Chapter V of the TPG ☐ Country-by-country report consistent with Annex III to Chapter V of the TPG ☒ Specific transfer pricing returns (separate or annexed to the tax return) ☐ Other (specify):	
30	Please briefly explain the relevant requirements related to each transfer pricing documentation requirement (i.e. timing for preparation or submission, languages, etc.)	N/A	
31	Does your domestic transfer pricing framework provide for specific transfer pricing penalties and/or compliance incentives regarding transfer pricing documentation?	☐ Yes ☒ No	
32	Does your domestic transfer pricing framework provide for exemption from transfer pricing documentation obligations?	☐ Yes ☒ No	

Administrative Approaches to Avoiding and Resolving Disputes

33	Which mechanisms are available in your jurisdiction to prevent and/or resolve transfer pricing disputes?	Please check those that apply: ☐ Rulings ☐ Enhanced engagement or cooperative compliance programmes ☒ Advance Pricing Agreements (APA) ☒ Unilateral APAs ☐ Bilateral APAs ☐ Multilateral APAs ☐ International Compliance Assurance Programme (ICAP) ☐ Mutual Agreement Procedures ☒ Other (<i>please specify</i>): Article 145 A of the Tax Code, Decree number 6-91 includes a prior mechanism for resolving tax disputes. The Tax Administration, after verifying the declarations, assessments, supporting documentation, and tax payment documents, and if it finds inconsistencies, errors, actions, or omissions regarding the determination of the tax liability... after the auditors who carried out the review have submitted their report establishing the relevant inconsistencies and before granting a hearing, may summon the taxpayer or responsible party to correct them. In relation to APAs, taxpayers may request the Tax Authority to determine the value of transactions between related parties prior to their execution. This request must be accompanied by a proposal from the taxpayer based on the value that independent parties would have agreed upon in similar transactions. The Tax Authority may approve, deny, or modify the proposal with the taxpayer's acceptance. This agreement takes effect with respect to transactions carried out after the date on which it is approved and is valid during the settlement periods specified in the agreement itself, without exceeding four (4) periods following the date on which it is approved. The proposal may be deemed rejected after thirty (30) days have elapsed from the request.	Tax Update Law, Book I, Income Tax, Chapter VI Special valuation rules between related parties, article 63, Decree Number 10-2012. Tax Code, Decree number 6-91 ARTICLE 145 "A".
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Simplified and Streamlined Approach for Baseline Marketing and Distribution Activities

34	Does your domestic transfer pricing framework allow the application of the simplified and streamlined approach for baseline marketing and distribution activities in the relevant Annex of Chapter IV of the TPG?	☐ Yes ☒ No ☐ Other (please elaborate)	
35	If your domestic transfer pricing framework allows the application of the simplified and streamlined approach, how is it implemented?	☐ In-scope tested parties resident within the jurisdiction can elect to apply the simplified and streamlined approach (i.e. safe harbour) ☐ In-scope tested parties resident within the jurisdiction are required to follow the simplified and streamlined approach for in-scope qualified transactions and tax administrations are allowed to impose the application of the simplified and streamlined approach to in-scope qualified transactions of tested parties resident within their jurisdiction (i.e. rule) ☒ N/A	
36	If your domestic transfer pricing framework allows the application of the simplified and streamlined approach, what is the operating expense to sales (OES) upper bound chosen by your jurisdiction regarding scoping criterion 13.b?	☐ 20% ☐ 30% ☐ Other (please specify) ☒ N/A	
37	Does your jurisdiction respect the outcome of the application of the simplified and streamlined approach by a covered jurisdiction in line with the Inclusive Framework political commitment?	☐ Yes ☒ No	

38	If your domestic transfer pricing framework allows the application of the simplified and streamlined approach for resident in-scope tested parties, does your jurisdiction respect the outcome of the application of such approach by another jurisdiction that is not a covered jurisdiction?	☐ Yes ☒ No	
Safe Harbours and Other Simplification Measures			
39	Does your jurisdiction provide for any safe harbours or other simplification measures in respect of certain industries, types of taxpayers, or types of transactions (not listed in other sections of this questionnaire)?	☐ Yes ☒ No	
Other Legislative Aspects or Administrative Procedures			
40	Does your domestic transfer pricing framework allow downward corresponding adjustments in the absence of a mutual agreement procedure (e.g. unilateral corresponding adjustments)?	☐ Yes ☒ No	
41	Does your domestic transfer pricing framework allow or require taxpayers to make year-end adjustments?	☐ Yes. Year-end adjustments are required. ☒ Yes. Year-end adjustments are allowed. ☐ No	

42	Does your domestic transfer pricing framework provide for secondary adjustments?	☐ Yes ☒ No	
Attribution of Profits to Permanent Establishments			
43	Which version of Article 7 of the OECD Model Tax Convention on Income and on Capital do your tax treaties contain?	☐ Article 7 as it read before 2010. ☐ If so, please indicate in how many treaties: ☐ Article 7 as it reads after 2010. ☐ If so, please indicate in how many treaties: ☒ Other (please provide additional details)	
		Guatemala does not have any tax treaty agreements.	
44	For tax treaties containing Article 7 as it read before 2010, does your jurisdiction apply the authorized OECD approach (AOA)?	☐ Yes ☒ No (please explain the approach used and which tax treaties are concerned)	
45	Does your domestic transfer pricing framework contain specific guidance for the attribution of profits to permanent establishments of non-resident entities? If so, please provide a summary of the main features of this guidance.	☐ Yes, they follow the AOA as described in the 2008 Report on the Attribution of Profits to Permanent Establishments ☐ Yes, they follow the AOA as described in the 2010 Report on the Attribution of Profits to Permanent Establishments ☐ Yes, they do not follow the AOA (please provide a summary of the main features of these rules) ☒ No	

Other Relevant Information			
46	Other legislative aspects or administrative procedures regarding transfer pricing	N/A	
47	Other relevant information (e.g. <i>whether your jurisdiction is preparing new transfer pricing regulations, or other relevant aspects not addressed in this questionnaire</i>)	N/A	

For more information, please visit: <https://www.oecd.org/en/topics/sub-issues/transfer-pricing/transfer-pricing-country-profiles.html>